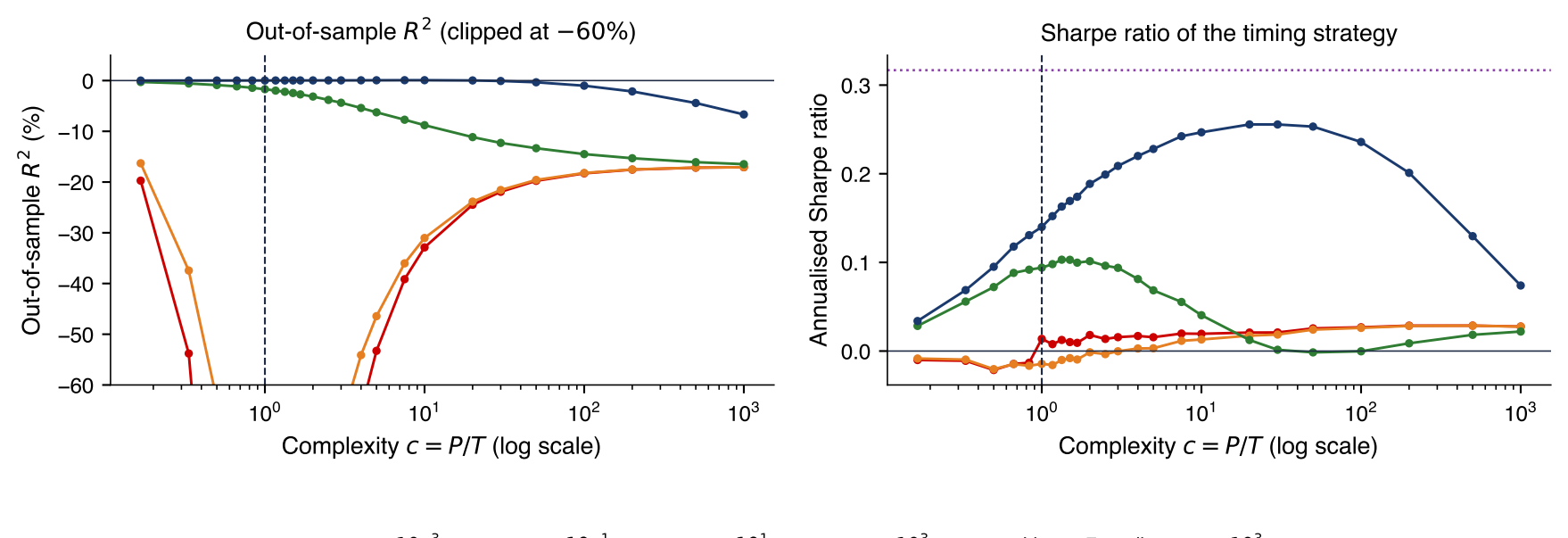
Out-of-sample R^2 (clipped at −60%)
Out-of-sample R^2 (%)
0
−10
−20
−30
−40
−50
−60
10^0
10^1
10^2
10^3
Complexity $c = P/T$ (log scale)
Sharpe ratio of the timing strategy
Annualised Sharpe ratio
0.3
0.2
0.1
0.0
10^0
10^1
10^2
10^3
Complexity $c = P/T$ (log scale)
$z = 10^{-3}$
$z = 10^{-1}$
$z = 10^{1}$
$z = 10^{3}$
Linear, 7 predictors, $z = 10^3$